



The impact of political ties on firm innovativeness: Testing a mediation and moderation model

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ABSTRACT

This study utilizes network exploitation and exploration theory to distinguish the exploitative and exploratory mechanisms (government support and boundary-spanning learning, respectively) that convert political ties into firm innovativeness. It also examines the moderating roles market uncertainty plays in how political ties influence firm innovativeness. An empirical analysis of 262 manufacturers in China indicates that both government support and boundary-spanning learning mediate the link between political ties and firm innovativeness. Market uncertainty negatively moderates the impact of political ties on boundary-spanning learning but does not significantly moderate their impact on government support. Moreover, market uncertainty moderates the impact of government support on firm innovativeness negatively but moderates the impacts of boundary-spanning learning on firm innovativeness positively. This study theorizes two mediating factors for how firms exploit and explore their political ties to increase their innovativeness and enriches the knowledge of how market uncertainty affects the relationship between political ties and innovation.

1. Introduction

As a category of social network ties, political ties play a vital role in influencing firms' activities and performance (Peng & Luo, 2000; Zhang, O'Kane, & Chen, 2020). Scholars suggest that political ties, which are defined as top managers' personal connections with government officials, act as strategic options for firms to obtain more resources or opportunities and enhance their regulatory legitimacy in a transition economy (Sheng, Zhou, & Li, 2011; Zhang, Qi, Wang, Zhao, & Pawar, 2019). Despite their declining influence amid the institutional changes in a transition economy (Hitt & Xu, 2016), political ties are still useful for firm innovation, where external resources and knowledge are particularly important (Gao, Shu, Jiang, Gao, & Page, 2017). In China's transition economy, for example, the central government has emphasized developing innovation as a means to overcome a middle-income trap. Chinese government officials maintain close interactions with industries to ensure that China's innovation policies are promoted (Tjosvold, Peng, Chen, & Su, 2008). However, firm innovation activities are accompanied by higher risks when legal and market institutions are weak. Here, political ties are informal institutional arrangements to confront uncertainties in the processes of innovation (Peng & Luo,

2000). In general, the extant empirical evidence supports the positive impacts of political ties on innovation (Chen, Han, Wang, Ieromonachou, & Lu, 2021; Tian, Wang, Xie, Jiao, & Jiao, 2019).

Although there is increasing interest in investigating the relationship between political ties and innovation by exploring its intervening and contingent factors (see Appendix A), two crucial aspects of this relationship remain underdeveloped in the political ties-innovation literature. First, different kinds of mechanisms are thought to transform political ties into innovation outcomes (Zhang et al., 2020; Zhang et al., 2019). However, these mechanisms are regarded as homogeneous organizational behaviors that derive from political ties. Rather, these organizational behaviors transform political ties into innovation outcomes based on similar appropriating mechanisms. The theories used in the existing literature (see Appendix A) emphasize the different resources/capabilities acquired from political ties (what is leveraged through social network ties) but neglect the differential use of network connections through political ties (how to leverage social network ties). According to network exploitation and exploration theory, network ties can be leveraged not only by exploiting existing relationships of social ties but also by exploring new relationships through social ties (Lavie & Rosenkopf, 2006). However, in the political ties-innovation literature,

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